

XP Power Ltd. Financial and Ownership Analysis

Table 1: Key Financial Metrics Used in Assessment

Category	Metric	Value	Threshold (Pass/Monitor/Fail)	Verdict
Valuation Ratios	P/E Ratio	N/A	<10.0 / 10.0-15.0 / >15.0	N/A
	EV/EBITDA	67.6x	<5.0 / 5.0-7.5 / >7.5	FAIL
	EV/EBIT	67.6x	<7.0 / 7.0-10.0 / >10.0	FAIL
	EV/Revenue	0.8x	>1.0 / 2.0-1.0 / <2.0	FAIL
	Price to Free Cash Flow	3.7x	>15.0 / 30.0-15.0 / <30.0	FAIL
	Free Cash Flow Yield	26.9%	>10.0 / 6.0-10.0 / <6.0	PASS
Profitability	Gross Margin	39.2%	>40.0 / 30.0-40.0 / <30.0	MONITOR
	Operating Margin	1.5%	>15.0 / 5.0-15.0 / <5.0	FAIL
	Net Margin	-3.9%	>5.0 / 0.0-5.0 / <0.0	FAIL
	Return on Equity (ROE)	-13.2%	>10.0 / 0.0-10.0 / <0.0	FAIL
	Return on Capital Employed (ROCE)	1.9%	>15.0 / 8.0-15.0 / <8.0	FAIL
Liquidity	Current Ratio	1.6	>1.5 / 1.0-1.5 / <1.0	PASS
	Quick Ratio	0.9	>1.0 / 0.5-1.0 / <0.5	MONITOR
Leverage	Debt-to-Equity	1.1	<0.5 / 0.5-1.0 / >1.0	FAIL
	Interest Coverage	0.2x	>4.0 / 2.0-4.0 / <2.0	FAIL
	Net Debt/EBITDA	24.5	<2.5 / 2.5-3.5 / >3.5	FAIL
Efficiency	Inventory Turnover	4.2x	>4.0 / 2.0-4.0 / <2.0	PASS
	Days Sales Outstanding	22 days	<60.0 / 60.0-90.0 / >90.0	PASS
Earnings Quality	Accruals Ratio	-31.2%	<10.0 / 10.0-20.0 / >20.0	PASS
	EBITDA to Free Cash Flow Conversion	1158.3%	>70.0 / 40.0-70.0 / <40.0	PASS
	Adjusted vs Statutory Earnings Gap	0.0	<10.0 / 10.0-20.0 / >20.0	PASS
Asset Quality	Goodwill to Assets	17.6%	<30.0 / 30.0-50.0 / >50.0	PASS

Category	Metric	Value	Threshold (Pass/Monitor/Fail)	Verdict
	Capex to Depreciation	0.0	0.8-1.2 / <0.8 or >1.2 / >1.5	MONITOR
	Tangible Book Value	£72.7m	>50.0 / 0.0-50.0 / <0.0	PASS
Cash Flow	Cash Conversion Ratio	5.8	>1.0 / 0.8-1.0 / <0.8	PASS
	Free Cash Flow	£35.3m	>0.0 / 5.0-0.0 / <5.0	PASS

Table 2: Assessment and Verdict Summary

Metric	Verdict	Assessment Summary
Valuation Ratios	Mixed (mostly FAIL)	High EV/EBITDA and EV/EBIT multiples indicate overvaluation on earnings basis; low Price/FCF ratio fails but strong FCF yield passes, suggesting undervaluation on cash flow basis.
Profitability	FAIL / MONITOR	Margins are weak with negative net margin and poor returns on equity and capital employed, indicating operational challenges. Gross margin is borderline monitor.
Liquidity	PASS / MONITOR	Current ratio is adequate; quick ratio slightly below pass threshold, indicating some inventory reliance.
Leverage	FAIL	High debt-to-equity, very low interest coverage, and extremely high net debt to EBITDA ratio indicate significant financial risk.
Efficiency	PASS	Strong inventory turnover and low days sales outstanding show effective working capital management.
Earnings Quality	PASS	Negative accruals ratio and excellent EBITDA to FCF conversion indicate conservative earnings and strong cash conversion. No significant adjusted vs statutory gap.
Asset Quality	PASS / MONITOR	Moderate goodwill ratio and strong tangible book value; zero capex to depreciation ratio flagged for monitoring, possibly indicating underinvestment.
Cash Flow	PASS	Strong cash conversion and positive free cash flow support operational cash health despite earnings weakness.

Analysis Summary

Valuation: XP Power's valuation metrics present a conflicting picture. The extremely high EV/EBITDA and EV/EBIT multiples (67.6x) are well above acceptable thresholds, signaling the market prices the company at a significant premium relative to earnings, which is a fail. The Price to Free Cash Flow ratio is also poor at 3.7x, failing the threshold. However, the Free Cash Flow Yield is strong at 26.9%, a pass, indicating the

company generates substantial cash relative to its market price. This suggests the market may be discounting earnings weakness or risks but recognizing underlying cash flow strength.

Profitability: The company exhibits weak profitability. Gross margin at 39.2% is just below the pass threshold, flagged as monitor. Operating margin is very low at 1.5%, and net margin is negative at -3.9%, both failing thresholds. Returns on equity (-13.2%) and capital employed (1.9%) are poor, indicating operational challenges and low returns on invested capital.

Liquidity: The current ratio of 1.6 passes, indicating adequate short-term liquidity. The quick ratio at 0.9 is slightly below the pass threshold but still in monitor range, showing some reliance on inventory for liquidity.

Leverage: The company is highly leveraged with a debt-to-equity ratio of 1.1 (fail), very low interest coverage of 0.2x (fail), and an extremely high net debt to EBITDA ratio of 24.5x (fail). This raises significant financial risk concerns and indicates difficulty in covering interest expenses from operating earnings.

Efficiency: Inventory turnover of 4.2x and days sales outstanding of 22 days both pass, indicating efficient working capital management.

Earnings Quality: The accruals ratio is negative at -31.2%, a pass, suggesting conservative earnings recognition. EBITDA to free cash flow conversion is very high at 1158.3%, a pass, indicating excellent cash conversion. The adjusted versus statutory earnings gap is zero, a pass, showing no significant earnings manipulation.

Asset Quality: Goodwill to assets ratio is moderate at 17.6%, a pass, indicating no excessive goodwill risk. Tangible book value is strong at £72.7m. The capex to depreciation ratio is zero, flagged as monitor, which may indicate underinvestment or timing differences.

Cash Flow: Cash conversion ratio is very strong at 5.8, a pass, indicating excellent conversion of earnings to cash. Free cash flow of £35.3m is positive and a pass, supporting the company's cash generation strength despite earnings weakness.

Notes on Going Concern and Liquidity: The company has a \$140m revolving credit facility maturing in March 2027, with £78m drawn and £24m undrawn as of June 2025. Covenants were amended in May 2025 to a leverage ratio max 3.0 and interest cover min 3.0, tested quarterly. Base and downside scenarios show the company remains compliant with covenants and maintains adequate liquidity, even under severe downside assumptions. The company is exposed to foreign exchange risk due to USD-denominated debt.

Auditor's Report: The interim financial statements have been reviewed (not audited) by PwC with no material misstatements found, supporting the reliability of the financial information.

Ownership Structure: XP Power has a single share class with high free float (~94.88%) and significant institutional ownership by Aberforth Partners LLP (10.84%), Van Lanschot Kempen (9.5%), Steel Partners (7.57%), and others. This ownership profile supports good market liquidity and active institutional oversight, which can be beneficial for governance and strategic direction.

Conclusion

XP Power presents a mixed financial profile. The company struggles with profitability and is burdened by high leverage, raising financial risk concerns. However, it demonstrates strong cash flow generation and efficient working capital management, which supports operational cash health. The market valuation is high

on earnings multiples but low on free cash flow multiples, suggesting the market prices in expectations of future improvement or strategic value.

Liquidity and covenant compliance appear adequate with prudent going concern assumptions. Institutional ownership and high free float provide governance and liquidity benefits.

Investors should be cautious of the high leverage and weak profitability but may find value in the strong cash flow generation. Monitoring operational improvements and leverage reduction will be critical to improving the company's financial health and investment attractiveness.

Sources:

- Financial Ratios: data/XPP/XPP_agent_ratios.md
- Notes to Financials: data/XPP/XPP_notes.md
- Balance Sheet: data/XPP/XPP_balancesheet_statement.md
- Auditor Report: data/XPP/XPP_auditor_report.md

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